and on-chain monitoring are just starting to reach mainstream retail audiences. For example, as of December 31, 2020, the Internal Revenue Service (IRS) draft proposal requires reporting on form 1040 of any receipt of cryptocurrency (for free) including airdrop or hard fork; exchange of cryptocurrency for goods or services; purchase or sale of cryptocurrency; exchange of virtual currency for other property, including for another virtual currency; and acquisition or disposition of a financial interest in a cryptocurrency. Moving virtual currency from one wallet to another is not included. The regulations also make it clear that a form W2 is required for cryptocurrency payments made in exchange for work.[30]

While the DeFi regulatory landscape continues to be actively explored, with new regulatory decisions being made daily such as that allowing banks to custody cryptocurrency,[31] the market outlook is hazy with many existing problems yet to be navigated.

If the regulatory environment in any one country (or state) is too harsh, innovation will move offshore (or a different state). However, if regulations are too lax, many consumers will be exploited. The regulators must find the right balance. However, that is not the only challenge. This space is technically challenging and regulators need to invest a lot of time getting up to speed. Even after training, the regulators find their knowledge quickly depreciates given the speed of change. Finally, it is difficult for the regulator to hire in this space because potential employees have many other options.